ours p.1 (red) over filed p.1 (blue)

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SUPERIOR COURT OF THE STATE OF CALIFORNIA

COUNTY OF SAN DIEGO

THE PEOPLE OF THE STATE OF CALIFORNIA,

Plaintiff,

v.

SWEETWATER CARE OPCO, LLC; SWEETWATER CARE RESOURCE, LLC; SWEETWATER YV CHOLLA OPCO, LLC; SWEETWATER YV JOSHUA OPCO, LLC; SWC CA OPCO, LLC; SWC CA OPCO 2, LLC; AJC HEALTHCARE, LLC; JBG PARTNERS, LLC; ALMOND VIEW CARE CENTER, LLC; BROOKSIDE CARE CENTER, LLC; EVERGREEN CARE CENTER, LLC; FEATHER RIVER CARE CENTER, LLC; FOWLER CARE CENTER, LLC; GRAND OAKS CARE, LLC; VINDRA, INC.; NOBLE CARE CENTER, LLC; ORCHARDS AT TULARE, LLC; PALMS CARE CENTER, LLC; RANCHO SECO CARE CENTER, LLC; RIVERWALK CARE CENTER, LLC; ROLLING HILLS CARE CENTER, LLC; GATEWAY CARE, LLC; SHASTA VIEW CARE CENTER, LLC; VALLEY VIEW CARE CENTER, LLC; VINEYARDS AT FOWLER, LLC; AARON CHESLEY; JAMES GAMETT; AND DOES 1 THROUGH 300, INCLUSIVE,

Defendants.

Case No.: 25CU033612N

COMPLAINT FOR PERMANENT INJUNCTION, CIVIL PENALTIES, RESTITUTION, AND OTHER EQUITABLE RELIEF

(Business and Professions Code, §§ 17200, 17500 et seq.)

The People of the State of California (“Plaintiff” or the “People”), bring this suit, represented by the Attorney General of the State of California, who is authorized to protect the general public,

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SUPERIOR COURT OF THE STATE OF CALIFORNIA

COUNTY OF SAN DIEGO

THE PEOPLE OF THE STATE OF CALIFORNIA,

Plaintiff,

v.

SWEETWATER CARE OPCO, LLC; SWEETWATER CARE RESOURCE, LLC; SWEETWATER YV CHOLLA OPCO, LLC; SWEETWATER YV JOSHUA OPCO, LLC; SWC CA OPCO, LLC; SWC CA OPCO 2, LLC; AJC HEALTHCARE, LLC; JBG PARTNERS, LLC; ALMOND VIEW CARE CENTER, LLC; BROOKSIDE CARE CENTER, LLC; EVERGREEN CARE CENTER, LLC; FEATHER RIVER CARE CENTER, LLC; FOWLER CARE CENTER, LLC; GRAND OAKS CARE, LLC; VINDRA, INC.; NOBLE CARE CENTER, LLC; ORCHARDS AT TULARE, LLC; PALMS CARE CENTER, LLC; RANCHO SECO CARE CENTER, LLC; RIVERWALK CARE CENTER, LLC; ROLLING HILLS CARE CENTER, LLC; GATEWAY CARE, LLC; SHASTA VIEW CARE CENTER, LLC;

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COMPLAINT FOR PERMANENT INJUNCTION, CIVIL PENALTIES, RESTITUTION, AND OTHER EQUITABLE RELIEF

(Business and Professions Code, §§ 17200, 17500 et seq.)

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including elder and dependent adults within the State of California from unlawful, unfair, and fraudulent business practices. The People hereby allege the following on information and belief.

I. INTRODUCTION

1. Defendants engaged in repeated and persistent violations of California minimum staffing laws applicable to the operation of skilled nursing facilities ("SNFs"). While Defendants engaged in over 25,000 violations of California staffing laws between 2020 and 2024 according to their own staffing data, Defendants collected millions of dollars in public funds, including over $196 million in revenue from the Medi-Cal program, through the end of 2023.

2. The Legislature of the State of California recognized that elders and dependent adults are at risk of abuse, neglect, or abandonment and that this state has a responsibility to protect these persons. The Legislature has further recognized that the sufficient staffing of a Skilled Nursing Facility is imperative to prevent such patient harms. SNF patients often have medical diagnoses and other physical or mental limitations that render them unable to ask for help or to care for themselves. As such, these vulnerable patients are dependent upon the owners and operators of SNFs to operate with nursing staff in sufficient numbers to comply with laws in order to ensure their needs are met and rights are not violated. Research demonstrates that insufficient staffing is associated with an increase of patient harm.

3. Given the above concerns, California law mandates that a SNF provide 3.5 hours of direct care per patient, per day. (Health & Saf. Code, § 1276.65, subd. (c)(1)(B).) Licensed nurses are one of the two principal vehicles for the delivery of care to patients in a SNF. Licensed nurses are responsible, within the appropriate scope of their nursing licensure, for carrying out critical care.

FIRST CAUSE OF ACTION

[By Plaintiff against All Defendants]

VIOLATION OF BUSINESS AND PROFESSIONS CODE SECTION 17200 ET SEQ. (UNLAWFUL, UNFAIR, AND/OR FRAUDULENT BUSINESS PRACTICES)

75. The People incorporate by reference paragraphs 1–74 as though fully set forth

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VALLEY VIEW CARE CENTER, LLC; VINEYARDS AT FOWLER, LLC; AARON CHESLEY; JAMES GAMETT; AND DOES 1 THROUGH 300, INCLUSIVE,

Defendants.

Plaintiff, the People of the State of California ("Plaintiff" or the "People"), bring this suit, represented by the Attorney General of the State of California, who is authorized to protect the general public, including elder and dependent adults within the State of California from unlawful, unfair, and fraudulent business practices. The People hereby allege the following on information and belief.

I. INTRODUCTION

1. Defendants engaged in repeated and persistent violations of California minimum staffing laws applicable to the operation of skilled nursing facilities ("SNFs"). While Defendants engaged in over 25,000 violations of California staffing laws between 2020 and 2024 according to their own staffing data, Defendants collected millions of dollars in public funds, including over $196 million in revenue from the Medi-Cal program, through the end of 2023.

2. The Legislature of the State of California recognized that elders and dependent adults are at risk of abuse, neglect, or abandonment and that this state has a responsibility to protect these persons. The Legislature has further recognized that the sufficient staffing of a Skilled Nursing Facility is imperative to prevent such patient harms. SNF patients often have medical diagnoses and other physical or mental limitations that render them unable to ask for help or to care for themselves. As such, these vulnerable patients are dependent upon the owners and operators of SNFs to operate with nursing staff in sufficient numbers to comply with laws in order to ensure their needs are met and rights are not violated. Research demonstrates that insufficient staffing is associated with an increase of patient harm.

3. Given the above concerns, California law mandates that a SNF provide 3.5 hours of direct care per patient, per day. (Health & Saf. Code, § 1276.65, subd. (c)(1)(B).) Licensed nurses are one of the two principal vehicles for the delivery of care to patients in a SNF. Licensed nurses are responsible, within the appropriate scope of their nursing licensure, for carrying out critical

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76. Defendants have engaged in acts or practices that are unlawful, unfair, or fraudulent and which constitute unfair competition within the meaning of Business and Professions Code section 17200 et seq., and as alleged supra. These include, but are not limited to, the following acts or practices:

a) Defendants have violated Business and Professions Code section 17500 et seq. as alleged in the Second Cause of Action.

b) Defendants engaged in unlawful and unfair business practices which violate the UCL by failing to provide overall nursing hours and certified nurse assistant hours, at or above the minimum levels established by California law, and by otherwise failing to provide nursing staff sufficient to meet the acuity needs of the patient populations of the SWEETWATER FACILITY DEFENDANTS.

SECOND CAUSE OF ACTION

[By Plaintiff against All Defendants]

VIOLATION OF BUSINESS AND PROFESSIONS CODE SECTION 17500 ET SEQ. (FALSE AND MISLEADING STATEMENTS)

78. The People incorporate by reference paragraphs 1-77 as through fully set forth.

79. The SWEETWATER DEFENDANTS' acts of falsely reporting worked nursing hours to CMS despite the lack of any evidence that staff were actually paid to work on those dates constitute false or misleading statements in violation of Business and Professions Code section 17500.[1]

80. This cause of action is brought for the benefit of senior citizens and/or disabled persons residing within Defendants' facilities to redress Defendants unfair and deceptive acts and practices, and unfair methods of competition.

PRAYER FOR RELIEF

WHEREFORE, Plaintiff prays for judgment as follows:

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[1] The People exclude from the People's prayers for civil penalties any violations of Health & Safety Code section 1276.65, subdivisions (c)(1)(b)-(c), that occurred during the time period covered under a COVID-19 waiver issued by CDPH pursuant to AFL 20-32 effective between March 30, 2020 through June 30, 2020.

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actually paid to work on those dates constitute false or misleading statements in violation of Business and Professions Code section 17500.

FIRST CAUSE OF ACTION

[By Plaintiff against All Defendants]

VIOLATION OF BUSINESS AND PROFESSIONS CODE SECTION 17200 ET SEQ.

(Unlawful, Unfair, and/or Fraudulent Business Practices)

75. The People incorporate by reference paragraphs 1-74 as though fully set forth.

76. Defendants have engaged in acts or practices that are unlawful, unfair, or fraudulent and which constitute unfair competition within the meaning of Business and Professions Code section 17200 et seq., and as alleged *supra*. These include, but are not limited to, the following acts or practices:

a) Defendants have violated Business and Professions Code section 17500 et seq. as alleged in the Second Cause of Action.

b) Defendants engaged in unlawful and unfair business practices which violate the UCL by failing to provide overall nursing hours and certified nurse assistant hours, at or above the minimum levels established by California law, and by otherwise failing to provide nursing staff sufficient to meet the acuity needs of the patient populations of the SWEETWATER FACILITY DEFENDANTS.

c) Defendants engaged in unfair and fraudulent business practices which violate the UCL when Defendants promised the State of California they would comply with state and federal laws and regulations in order to become a Medi-Cal provider, and further promised not to permit fraud or abuse of patients, however breached those promises as more fully set forth at paragraphs 49-63, *supra*.

d) Defendants engaged in unfair and fraudulent business practices when Defendants promised patients to provide sufficient nursing staff and other rights guaranteed by California Code of Regulations, title 22, section 72527, however breached those promises as more fully set forth at paragraphs 49-63, *supra*.

e) Defendants engaged in unlawful and unfair business practices when they directed

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1. That the Court make such orders or judgments as may be necessary to prevent the use or employment by Defendants, their successors, agents, representatives, employees, and all persons who act in concert with them of any practice that constitutes unfair competition or false advertising, under the authority of Business and Professions Code sections 17203 and 17535, respectively;

2. That the Court make such orders or judgments as may be necessary to restore to any person in interest any money or property that Defendants may have acquired by violations of sections 17200 and 17500 in an amount according to proof, under the authority of Business and Professions Code sections 17203 and 17535;

3. That the Court assess a civil penalty of $2,500 against each Defendant for each violation of Business and Professions Code section 17200 in an amount according to proof, under the authority of Business and Professions Code section 17206;

4. That the Court assess a civil penalty of $2,500 against each Defendant for each violation of Business and Professions Code section 17500 in an amount according to proof, under the authority of Business and Professions Code section 17536;

5. In addition to any penalties assessed under Business and Professions Code sections 17206 and 17536, that the Court assess a civil penalty of $2,500 against each Defendant for each violation of Business and Professions Code section 17200 perpetrated against a senior citizen or disabled person, in an amount according to proof, under the authority of Business and Professions Code section 17206.1;

6. For treble civil penalties pursuant to Civil Code section 3345;

7. That the Court award disgorgement in an amount according to proof, under the authority of Government Code section 12527.6;

8. For the appointment of a receiver / compliance monitor pursuant to Business and Professions Code section 17203;

9. For injunctive relief under Business and Professions Code section 17203 to prevent the violation of California law and regulations according to proof;

10. That the People recover their costs of suit;

11. That the People receive all other relief to which they are legally entitled; and

12. For such other and further relief that the Court deems just and proper.

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4. That the Court assess a civil penalty of $2,500 against each Defendant for each violation of Business and Professions Code section 17500 in an amount according to proof, under the authority of Business and Professions Code section 17536;

5. In addition to any penalties assessed under Business and Professions Code sections 17206 and 17536, that the Court assess a civil penalty of $2,500 against each Defendant for each violation of Business and Professions Code section 17200 perpetrated against a senior citizen or disabled person, in an amount according to proof, under the authority of Business and Professions Code section 17206.1;

6. For treble civil penalties pursuant to Civil Code section 3345;

7. That the Court award disgorgement in an amount according to proof, under the authority of Government Code section 12527.6;

8. For the appointment of a receiver / compliance monitor pursuant to Business and Professions Code section 17203;

9. For injunctive relief under Business and Professions Code section 17203 to prevent the violation of California law and regulations according to proof;

10. That the People recover their costs of suit;

11. That the People receive all other relief to which they are legally entitled; and

12. For such other and further relief that the Court deems just and proper.

Dated: June 23, 2025

Respectfully Submitted,
ROB BONTA
Attorney General of California

JENNIFER L. TURNER
Supervising Deputy Attorney General
Attorneys for Plaintiff, the People of the State of California

(SD2022305656)

4. That the Court assess a civil penalty of $2,500 against each Defendant for each violation of Business and Professions Code section 17500 in an amount according to proof, under the authority of Business and Professions Code section 17536;

5. In addition to any penalties assessed under Business and Professions Code sections 17206 and 17536, that the Court assess a civil penalty of $2,500 against each Defendant for each violation of Business and Professions Code section 17200 perpetrated against a senior citizen or disabled person, in an amount according to proof, under the authority of Business and Professions Code section 17206.1;

6. For treble civil penalties pursuant to Civil Code section 3345;

7. That the Court award disgorgement in an amount according to proof, under the authority of Government Code section 12527.6;

8. For the appointment of a receiver / compliance monitor pursuant to Business and Professions Code section 17203;

9. For injunctive relief under Business and Professions Code section 17203 to prevent the violation of California law and regulations according to proof;

10. That the People recover their costs of suit;

11. That the People receive all other relief to which they are legally entitled; and

12. For such other and further relief that the Court deems just and proper.

Dated: June 23, 2025

Respectfully Submitted,

ROB BONTA
Attorney General of California

JENNIFER L. TURNER
Supervising Deputy Attorney General
Attorneys for Plaintiff, the People of the State of California

(SD2022305656)

Dated: June 23, 2025

Respectfully Submitted,
ROB BONTA
Attorney General of California

By: ______________________
JENNIFER L. TURNER
Supervising Deputy Attorney General